

Chapter 2: Planning and Organizing

Planning

- Levels of planning: strategic, tactical and operational
- Steps in planning
- Tools for planning
- Importance of planning

Organizing

- Process of organizing
- Organization structure
- Types of organization structure
- Traditional structure: line and functional
- Modern structure: matrix, network, hybrid
- Emerging planning and organizing issues for ICT enterprises

Levels of Planning

- **Strategic Planning:** Long-term planning focused on overall organizational goals and vision. Involves high-level decisions about resource allocation and market positioning.
- **Tactical Planning:** Mid-term planning that translates strategic goals into specific departmental actions and initiatives.
- **Operational Planning:** Short-term, detailed planning that focuses on day-to-day operations and specific tasks to achieve tactical goals.

Steps in Planning

1. Setting Objectives: Defining clear, achievable goals aligned with the organization's mission.
2. Identifying Resources: Assessing available human, financial, and technological resources.
3. Assessing Risks: Analyzing internal and external factors that may affect the plan.
4. Developing Strategies: Creating action plans and contingency plans.
5. Implementing Plans: Executing the strategies with defined roles and responsibilities.
6. Monitoring and Reviewing: Regularly evaluating progress and making necessary adjustments.

Tools for Planning

- SWOT Analysis: Identifies strengths, weaknesses, opportunities, and threats.
- PERT & Gantt Charts: Help in project scheduling and tracking progress.
- Decision Trees: Assist in evaluating different decision-making paths.
- Scenario Planning: Prepares for different future possibilities by analyzing potential risks and opportunities.

Importance of Planning

- Provides Direction: Ensures all activities align with organizational goals.
- Reduces Uncertainty: Helps anticipate and mitigate risks.
- Enhances Decision-Making: Provides a structured approach to making informed choices.
- Promotes Coordination: Ensures collaboration across various departments and teams.

Organizational Structure

The **organization structure** is a skeleton or a framework that divides the total activities into related groups, develops superior and subordinate relationship among the persons by prescribing the authorities.

Thus, it indicates the hierarchy (**persons arranged according to rank**), authority structure and reporting relationships (**who should report to whom**).

The organizational structure differs from organization to organization. It usually depends upon:

- i. *Size of the organization.*
- ii. *Nature of the product being manufactured.*
- iii. *Complexity of the problems being faced.*

Process of Organizing

1. Identifying Activities: Determining the key tasks required to achieve goals.
2. Departmentalization: Grouping related tasks into departments or units.
3. Assigning Responsibilities: Allocating tasks to individuals or teams.
4. Coordinating Activities: Ensuring smooth workflow and collaboration.
5. Establishing Reporting Relationships: Defining hierarchy and authority levels.

Organization Structure

- Defines the hierarchy within an organization and establishes relationships between different roles.
- Ensures clear communication, accountability, and efficient decision-making.
- Varies based on the size and nature of the organization.

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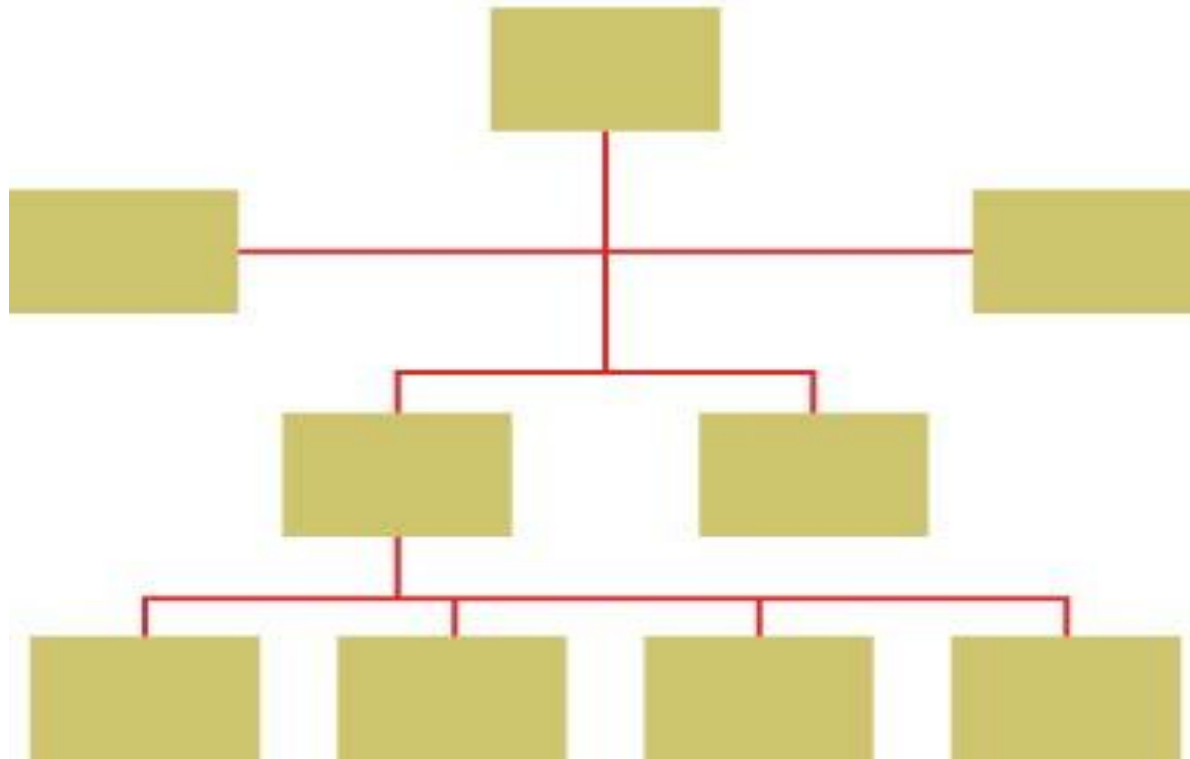
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Organization Chart/ Structure

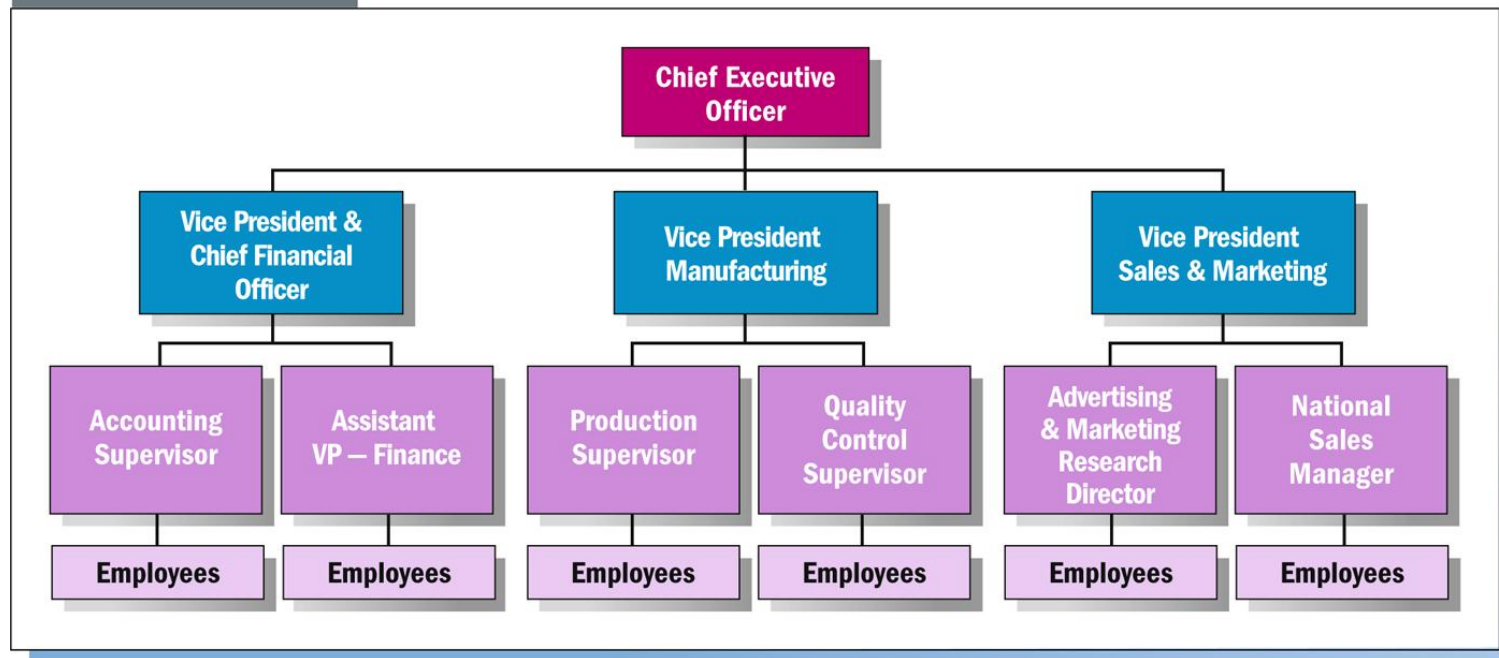
**Organization charts show
the formal structure**



ORGANIZATION CHART/ STRUCTURE

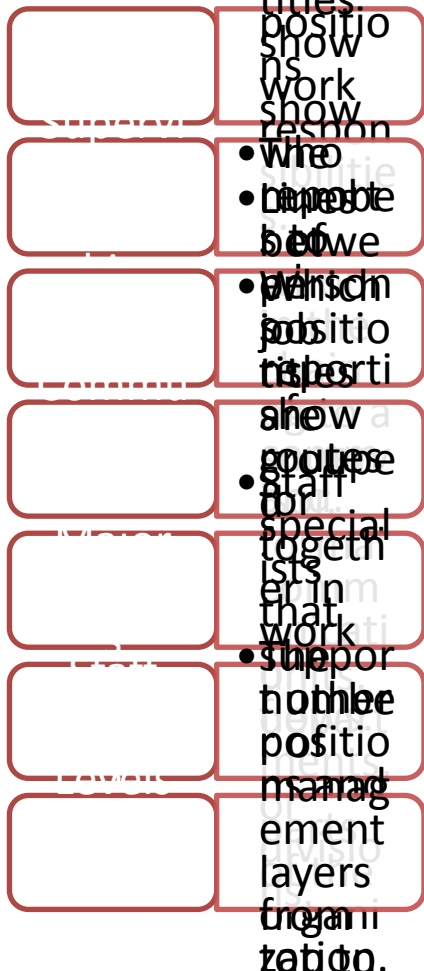
Figure 8.6

Sample Organization Chart



Organizational Charts

What You Can Learn from an Organization Chart



Types of Organization Structure

- **Traditional Structure:**

- Line Organization: A simple, clear chain of command with direct supervision.
- Functional Organization: Groups employees based on their specialized skills (e.g., HR, Finance, Marketing).

- **Modern Structure:**

- Matrix Structure: Employees report to multiple managers (functional and project-based).
- Network Structure: Relies on external partnerships and outsourcing for various functions.
- Hybrid Structure: Combines features of multiple organizational structures to suit specific needs.

I. Line Organization

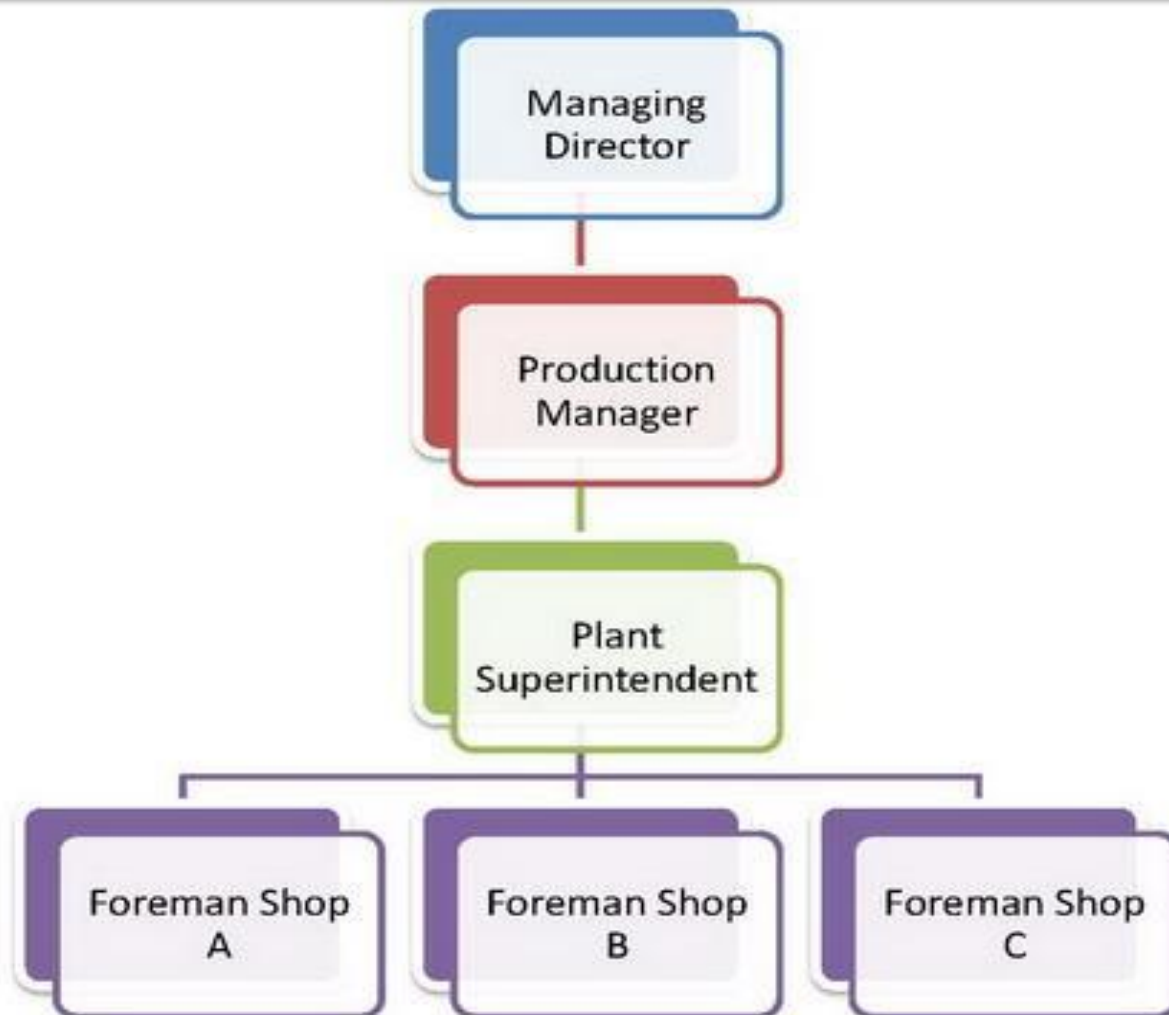
This is the *simplest and earliest* type of organization. It is also called as ***Military or Scalar organization***.

In this type of organization, the line of authority flows directly from top to bottom and the line of responsibility from bottom to top in opposite direction.

In line organization,

- i. Superior lines of authority
- ii. Communication through hierarchy
- iii. Strong Discipline

I. Line Organization



I. Line Organization

Advantages

1. Simplicity.
2. Clear cut authority and responsibility.
3. Strong in discipline.
4. Unity of command.
5. Quick decisions.
6. Rapid communication.
7. Co-ordination.
8. Development of all-round activities.

Disadvantages

1. Undue reliance.
2. Personal limitation.
3. Overload of work.
4. Dictatorial way.
5. Duplication of work.
6. Unsuitable for large concerns.
7. Scope of favourism.
8. Wastage of materials and man hours.

II. Line and Staff Organization

Line and staff organization is that in which the line heads are assisted by specialist staff.

If the firm is too large, managers cannot give careful attention to every aspect of management. They are busy with ordinary task of production and selling.

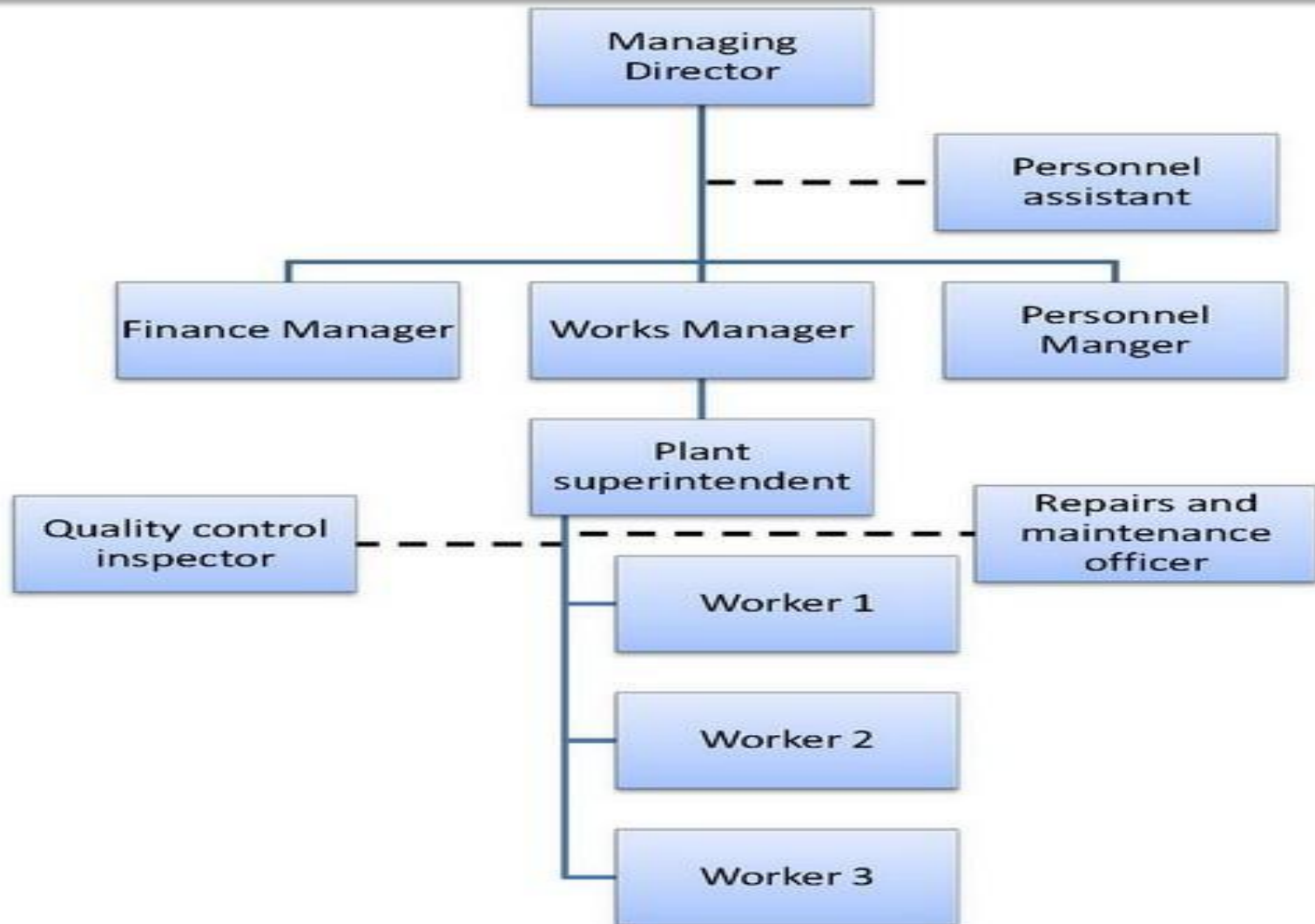
Hence staff is deputed to do the work of investigation, research, recording and advising to managers. Thus the staff brings specialization by assisting the line officers.

II. Line and Staff Organization

The line maintains discipline and stability, staff provided experts information and helps to improve overall efficiency. Thus *the staff are thinkers while the line are doers.*

Usually the staff has no administrative authority. They serve only in advisory capacity in their field of specialization.

II. Line and Staff Organization



II. Line and Staff Organization

Advantages

1. Planned specialization.
2. Well defined authority and responsibility.
3. Availability of specialized knowledge.
4. Adaptability to progressive business.
5. Less wastage.
6. Improved quality.

Disadvantages

1. Chances of mis-interpretation.
2. Chances of friction.
3. Ineffective staff in the absence of authority.
4. Expensive
5. Lethargic staff officer in the absence of accountability.
6. Loss of initiative by line executive

III. Functional Organization

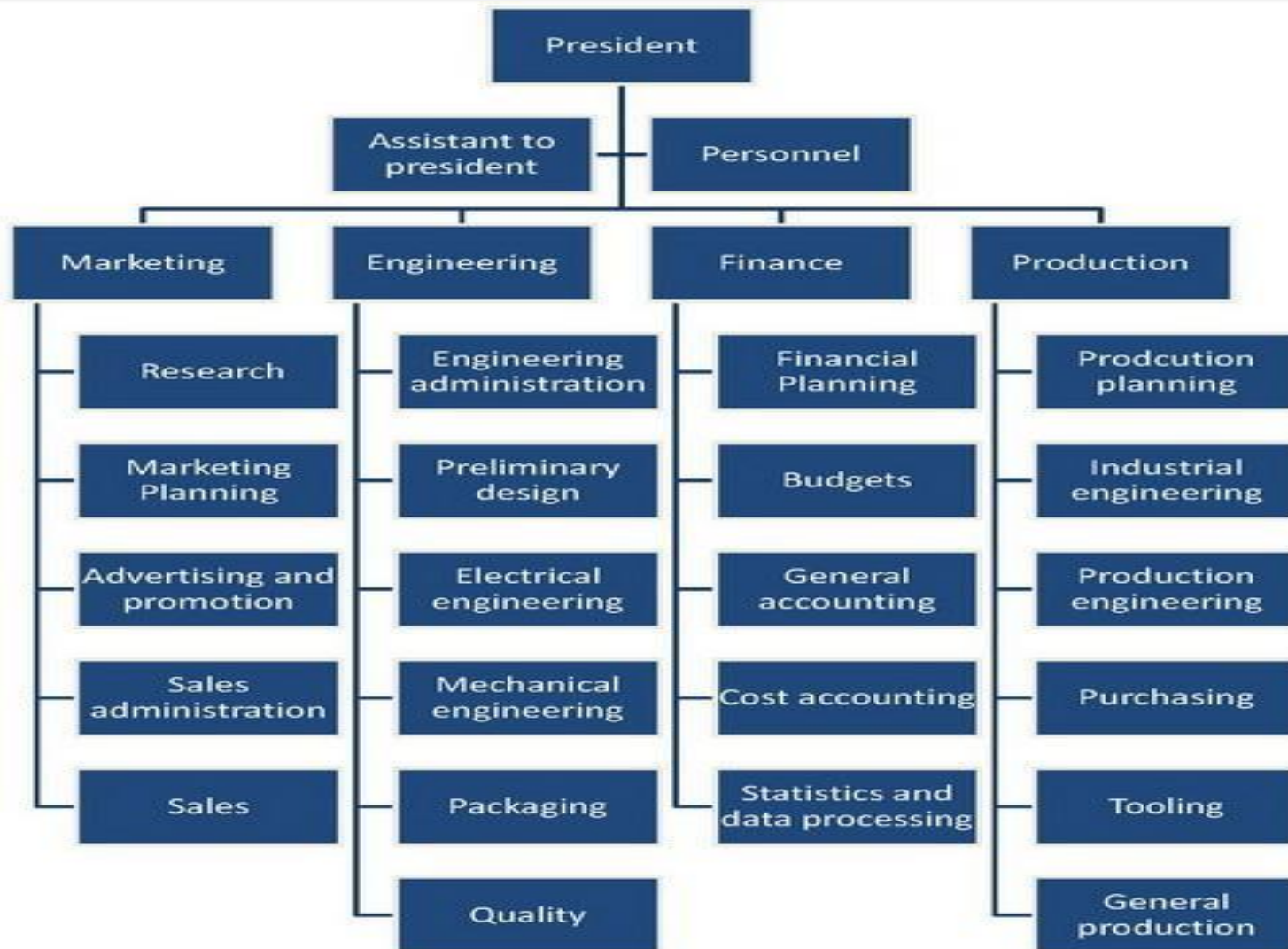
Functional organization divides managerial activities, so that each head from the works manager down has few functions to perform as possible and is able to become specialist in these. Authority from top to down is delegated according to the function.

In this type of organization specialists like production engineer, design engineer, maintenance engineer, purchase officer etc. are employed.

Each specialist is supposed to give his functional advice to all other foreman and workers.

Each specialist is authorized to give orders to workers, but only in regard of his field of specialization.

III. Functional Organization



III. Functional Organization

Advantages

1. Separation of work.
2. Specialization.
3. Narrow range with high depth.
4. Ease in selection and training.
5. Reduction in prime cost.
6. Scope for growth and development of business.
7. Standardized operations.
8. Standardization.

Disadvantages

1. Indiscipline.
2. Shifting of responsibility.
3. Kills the initiative of workers.
4. Overlapping of authority.
5. Lack of co-ordination between functions.
6. Increase in cost.

IV. Matrix Structures

Matrix Structures combine functional and divisional structures

- uses permanent cross functional teams to try to gain the advantages of both the functional and divisional approaches
- It has work specialization, improve efficiency, better direction and control
- Better communication exists across functions.
- Teams solve problems at their levels.
- Top managers spend more time on strategy.

IV. Matrix Structures

- A Matrix organization is a structure in which there is more than one line of reporting managers. Effectively, the employees of the organization have more than one boss.
- Employees report to a *line manager and a project manager*.

Advantages:

- Flexibility in adapting to changes.
- Focus on major problems or products.
- Outlet for employees' creativity and initiative.

Challenges:

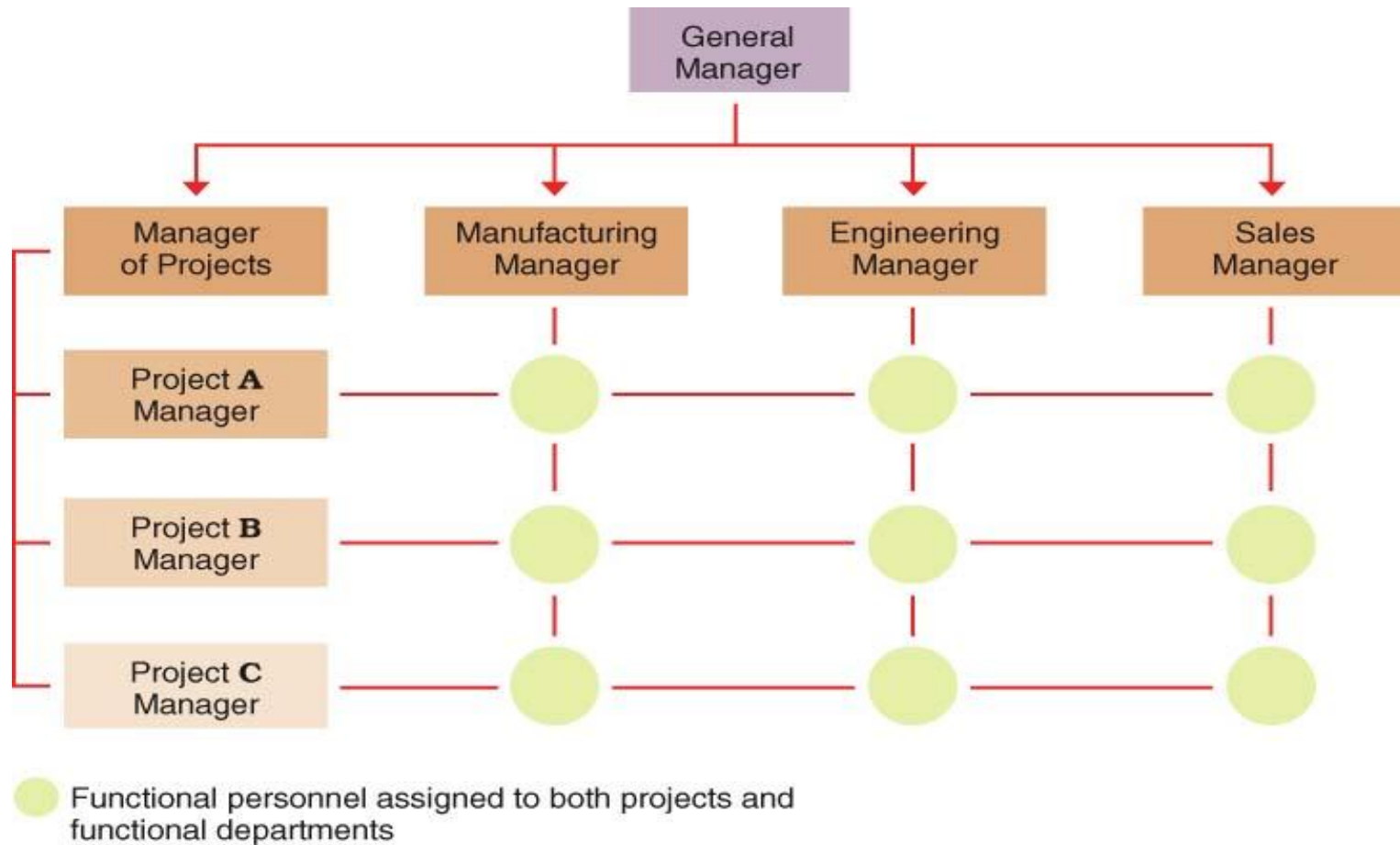
- Integrating skills of many specialists into a coordinated team.
- Employee frustration and confusion over reporting to two bosses.

IV. Matrix Structures

Disadvantages

- Multiple Command structure (Functional Manager and Project Manager)
- Power Struggle
- Conflict
- Duplication
- Costly

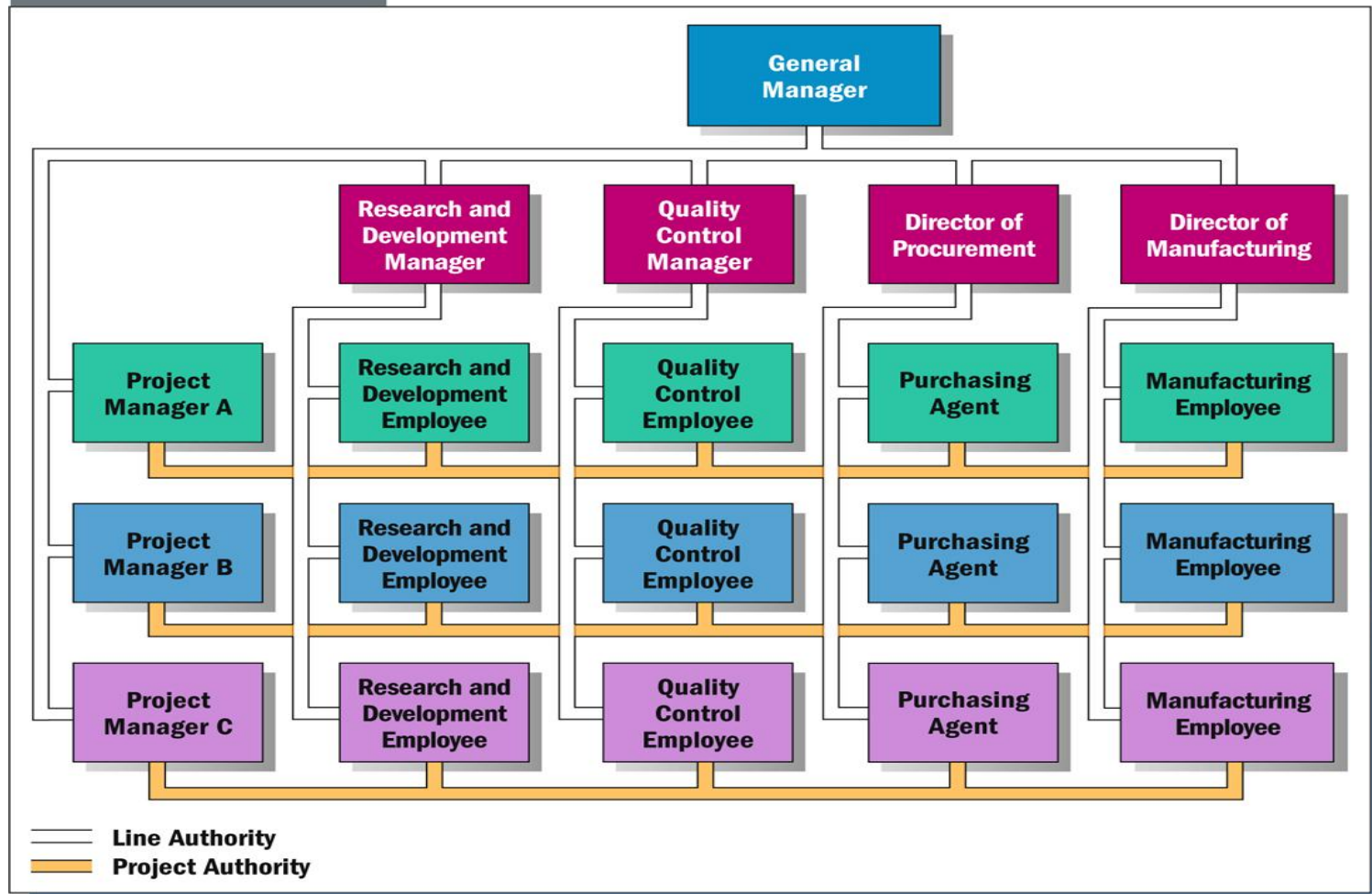
IV. Matrix Structures



IV. MATRIX STRUCTURES

Figure 8.9

Matrix Organization



Emerging Planning & Organizing Issues in ICT

- Rapid Technological Changes: Constant advancements require businesses to adapt quickly.
- Remote Work and Virtual Teams: Increased reliance on digital collaboration tools.
- Cybersecurity Concerns: Organizations must prioritize data protection and compliance.
- Agile and Adaptive Structures: Businesses must adopt flexible, iterative planning and organizing approaches to stay competitive in the ICT sector.

Emerging Planning & Organizing Issues in ICT

- **Cloud Computing Integration:** Increased reliance on cloud infrastructure for scalability, cost-effectiveness, and remote accessibility.
- **Artificial Intelligence & Automation:** AI-driven decision-making, automation of routine tasks, and machine learning adoption for efficiency.
- **Big Data and Analytics:** Organizations must leverage data-driven insights for strategic planning and operational efficiency.
- **Regulatory Compliance & Data Privacy:** Stricter data protection laws (e.g., GDPR, CCPA) require businesses to implement robust compliance measures.

Emerging Planning & Organizing Issues in ICT

- **Sustainability & Green IT:** Adoption of eco-friendly IT solutions to reduce environmental impact and ensure corporate social responsibility.
- **Talent Acquisition & Skills Gap:** Increasing demand for IT professionals with expertise in cybersecurity, AI, and emerging technologies.
- **Decentralized Work Models:** Growth of hybrid work environments requiring innovative management and organizational structures.
- **Blockchain & Decentralized Systems:** Enhanced security, transparency, and trust in business operations through blockchain adoption.
- **5G & IoT Expansion:** Faster connectivity and interconnected smart devices reshaping ICT infrastructure and business models

Thank You